

M/s Baba Ice and Cold Storage Pvt. Ltd. v. Ram Chandar, Tehsildar, Kirawali, Agra

Allahabad High Court · Single Judge · 31 August 2010 · Contempt Application (Civil) No. 1070 of 2010 (arising from Civil Misc. Writ Petition No. 6212 of 2009) · **Contempt application disposed of on compliance: the opposite party admitted that the collection charges of Rs.63,335 had been inadvertently recovered contrary to the writ court's order and refunded the amount; the contempt notice was discharged and the application consigned to record.**

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HEADNOTE

Where a writ court, invoking Clause 6.14 of the U.P. Electricity Supply Code, 2005, permits a consumer to pay electricity dues in instalments and directs that no collection charges shall be recovered if payment is made on schedule, and the consumer thereafter pays the entire amount within time (a long-standing security deposit being adjusted, on the consumer's request for permanent disconnection, towards the first instalment) so that the Electricity Department itself recalls the demand notice, the revenue authority cannot afterwards recover collection charges. Collection charges are in any event leviable only where the dues are actually recovered by the Tehsil authorities and not where the consumer deposits them directly with the Department. The Tehsildar's recovery of Rs.63,335 as collection charges — eight months after recall of the demand notice, coupled with the consumer's arrest and without fresh notice — was held unjustified and malafide; on the opposite party admitting the recovery was inadvertent and refunding the amount, the contempt notice was discharged.

FACTUAL SUMMARY

M/s Baba Ice and Cold Storage challenged recovery of its electricity dues in Writ Petition No. 6212 of 2009. By order dated 04.02.2009 the writ court, relying on Clause 6.14, allowed payment in four monthly instalments (40% first, the balance in three), directed that no collection charges be recovered if the schedule was met, and that the connection be restored on full deposit. The applicant deposited Rs.2,00,000, Rs.1,00,000 and Rs.1,50,000 (Feb-May 2009) and had its 2003 security deposit of Rs.1,37,500 adjusted on seeking permanent disconnection; the Electricity Department recalled the demand notice on full payment. Eight months later, on 06.02.2010, the Tehsildar arrested the applicant and, before releasing him, extracted Rs.63,335 as collection charges. The applicant filed this contempt application alleging disobedience of the writ court's order.

REUSABLE CONSTRUCTIONS

1. Under a Clause 6.14 writ order that permits payment of dues in instalments and waives collection charges on timely full payment, once the consumer pays the whole amount within the schedule (a pre-existing security deposit adjusted on a request for permanent disconnection counting towards the first instalment) and the Department recalls the demand notice, no collection charges are leviable thereafter. **order of 28.04.2010**
2. Collection / recovery charges are leviable only where the dues are actually recovered by the Tehsil (revenue) authorities; a consumer who deposits the dues directly with the Electricity Department incurs no collection charges. **order of 28.04.2010**
3. Recovering collection charges — coupled with arrest and lock-up — eight months after the demand notice was recalled and without fresh notice is malafide and in the teeth of the writ court's order. **order of 28.04.2010**

HOLDING-UNITS

HOLDING-UNIT · UP-2005::6.14

RATIO

No collection charges after full instalment payment under a Clause 6.14 order and recall of the demand notice

QUESTION

Could the Tehsildar recover collection charges after the consumer paid the entire dues in instalments under a Clause 6.14 writ order (which waived such charges on timely payment) and the Electricity Department recalled the demand notice?

HOLDING

No. The applicant deposited the entire dues within the four-month schedule fixed by the writ order — the 2003 security deposit, adjusted on the applicant's request for permanent disconnection, together with the first payment meeting the 40% first instalment — and the Electricity Department itself recalled the demand notice confirming full payment. The writ order having waived collection charges on such compliance, and collection charges being leviable only where the Tehsil authorities actually effect recovery (not where the consumer deposits directly with the Department), the Tehsildar's recovery of Rs.63,335 as collection charges eight months later, with arrest and without notice, was unjustified and malafide. The opposite party admitted the amount had been inadvertently recovered and refunded it; the contempt notice was discharged on compliance. [order of 28.04.2010](#); [order of 31.08.2010](#)

EVIDENCE *“as the entire amount had been deposited in compliance of the directions of the writ court ... and the entire amount having been deposited within four months, there could be no justification for demanding any recovery charges.”*
[order of 28.04.2010](#)

EVIDENCE *“Collection charges would become leviable only where the amount has been recovered by the tehsil authorities and not otherwise.”* [order of 28.04.2010](#)

FLAG Source is a contempt order-sheet across several dates (19.03.2010-31.08.2010); not paginated, so pins reference the order dates. Substantive reasoning by Vikram Nath, J. (28.04.2010); final disposal by Shashi Kant Gupta, J. (31.08.2010).

PRINCIPLE TAGS

collection-charges-only-on-tehsil-recovery-not-direct-deposit Collection / recovery charges are leviable only where the dues are actually recovered by the Tehsil (revenue) authorities; where the consumer deposits the dues directly with the Electricity Department, no collection charges arise. [order of 28.04.2010](#)

collection-charges-waived-on-timely-payment-under-instalment-order A writ order granting instalments under Clause 6.14 and waiving collection charges on timely full payment bars recovery of collection charges once the dues are fully paid and the demand notice recalled; recovery thereafter, with arrest and without notice, is malafide and contumacious. [order of 28.04.2010](#)

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER, AND BY WHAT PROCEDURE, A STATE RECOVERY AGENCY MAY RECOVER COLLECTION CHARGES AFTER THE ELECTRICITY DEPARTMENT RECALLS THE RECOVERY CERTIFICATE ON FULL PAYMENT OF DUES

The Court framed this question on 13.07.2010 and sought material, but it was rendered unnecessary when the opposite party admitted the charges were inadvertently recovered and refunded them. [order of 13.07.2010](#)

RELATED CASES — SEE ALSO

SCJ-045 — Kripa Shanker (2025) — Clause 6.14 instalment facility for electricity dues.

SCJ-182 — Mohammad Waseem (2012) — Clause 6.14 payment of dues in instalments.

SCJ-216 — Sultan Khan (2017) — Clause 6.14 instalment relief.

SCJ-251 — Usha Devi (2014) — Clause 6.14 instalment facility.